



Nucor Corporation in 2018: Case Study Analysis

A comprehensive strategic examination of America's leading steel producer navigating global competitive forces, financial performance, and critical growth decisions

The Competitive Landscape Facing U.S. Steel Producers

Porter's Five Forces framework reveals an intensely competitive environment, amplified by unprecedented foreign trade practices



Rivalry Among Competitors

Extremely high due to commodity pricing dynamics and global overcapacity exceeding 700 million tons annually



New Entrant Barriers

Exceptionally low — capital requirements of \$1 billion+ and established technology create formidable entry obstacles



Substitute Products

Limited threat — no viable large-scale alternative materials exist for structural steel applications



Buyer Power

Significant leverage — customers can easily switch suppliers using spot pricing mechanisms



Supplier Power

Moderate influence — scrap price volatility managed through strategic vertical integration initiatives



Foreign Dumping

Critical threat — Chinese government subsidies created 36% import market share in 2017, prompting Section 232 tariffs

How Nucor's Business Model Navigates Each Force



Strong Competitive Position

Electrical arc furnace model delivers labor costs 50% below integrated mills, maintaining profitability every year since 1966 except 2009



Proprietary Technology

Castrip continuous casting technology and DJJ scrap network create \$200M–\$1B+ plant investment barriers



Market Leadership

Broadest product lineup in North America across 12 categories, achieving market leadership in 9 product lines



Supply Chain Control

\$1.44B DJJ acquisition and DRI plants in Trinidad and Louisiana manage scrap volatility and quality ceilings



SWOT Analysis: Strategic Position Assessment

Strengths

- Lowest-cost producer in North America
- 12 product categories with 9 market-leading positions
- 50+ years of consistent profitability
- Proprietary Castrip technology
- Performance-driven organizational culture

Weaknesses

- Scrap price volatility exposure
- Louisiana DRI plant underperformance
- Duferdofin-Nucor JV losses
- EAF quality ceiling limitations

Opportunities

- Section 232 tariffs protection
- U.S. infrastructure spending plans
- Automotive market growth
- Value-added product premium margins

Threats

- Foreign dumping circumventing tariffs
- Persistent global overcapacity
- Steel demand cyclical



Distinctive Competencies: Unmatched low-cost production excellence combined with unique performance culture enabling sustained competitive advantage

Financial Performance 2013–2017

Nucor entered 2018 in its strongest financial condition since the pre-recession 2008 peak, demonstrating recovery from cyclical challenges

\$20.3B

Net Sales 2017

Recovery from 2016 low of \$16.2B, up from \$19B in 2013

\$1.3B

Net Earnings 2017

165% growth from 2016, exceeding 2013 baseline

6.5%

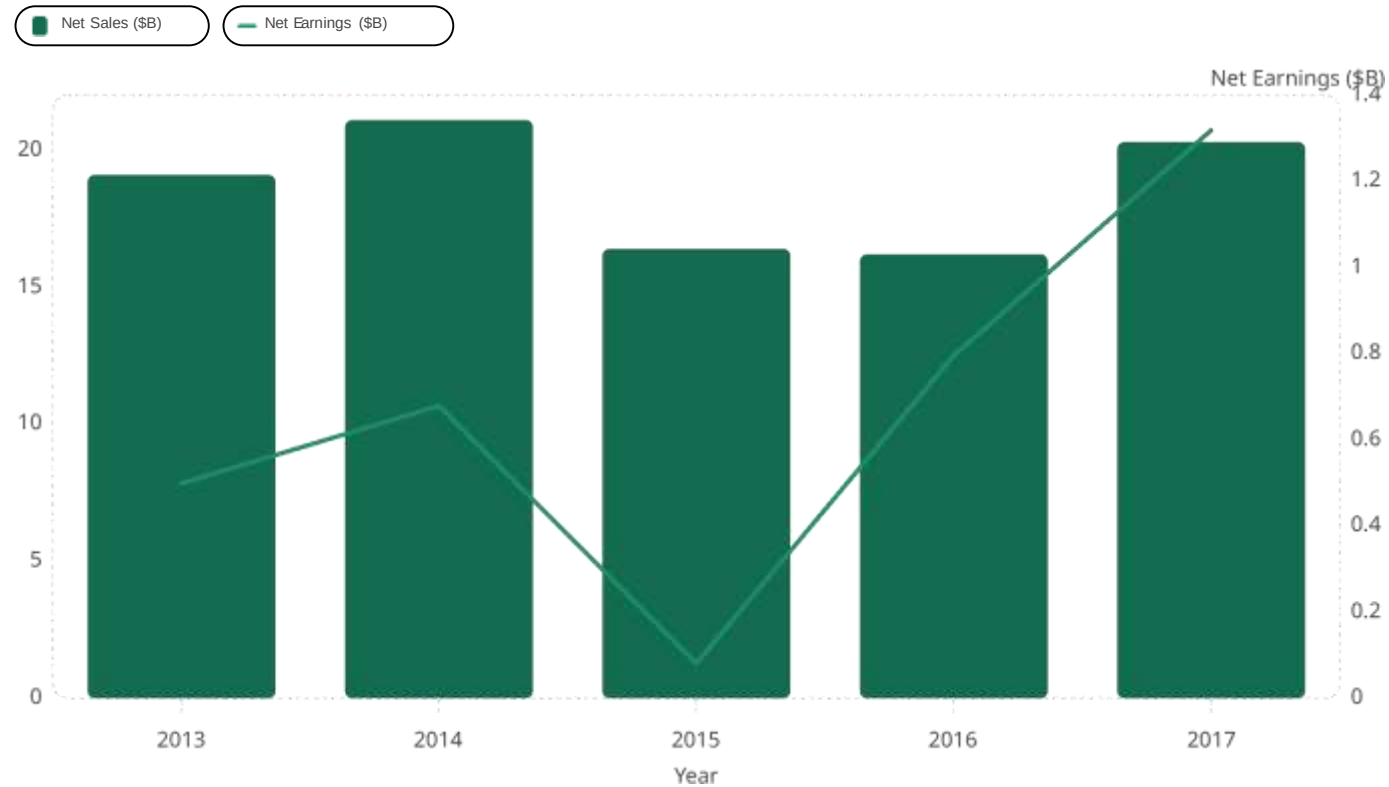
Net Margin 2017

125% improvement from 2016, highest since 2014

17.2%

Return on Equity

164% increase from 2016, recovering toward 2014 peak



Key Strategic Issues Requiring Management Attention

1

Import Circumvention

Foreign steel entering through third countries despite 2018 tariffs, undermining protection benefits

2

Louisiana DRI Underperformance

\$750M investment failing to deliver expected returns, requiring strategic resolution

3

Value-Added Transition

Accelerating shift from commodity products to higher-margin specialized steel grades

4

Automotive Market Share

Winning contracts with automotive OEMs using new galvanizing and cold mill capabilities

5

Duferdofin-Nucor JV Losses

European joint venture underperforming, representing stranded capital

6

Cultural Sustainability

Preserving performance culture during acquisition-led growth and expansion

Strategic Recommendations for Management

01

Leverage Tariff Window

Use protection period to aggressively pay down debt, fund strategic investments, and build substantial cash reserves for volatility

03

Target Automotive OEMs

Deploy new galvanizing and cold mill assets to capture growing automotive market share with premium products

05

Restructure European JV

Exit or fundamentally restructure Duferdofin-Nucor to redeploy \$41.3M capital to higher-return North American opportunities

02

Accelerate Product Transition

Reduce commodity exposure by systematically shifting production toward value-added, higher-margin specialized products

04

Resolve Louisiana DRI

Make definitive commitment to optimize or redirect \$750M capital investment based on rigorous ROI analysis

06

Formalize Leadership Pipeline

Systematically develop next-generation leaders to protect organizational culture during rapid acquisition-led expansion

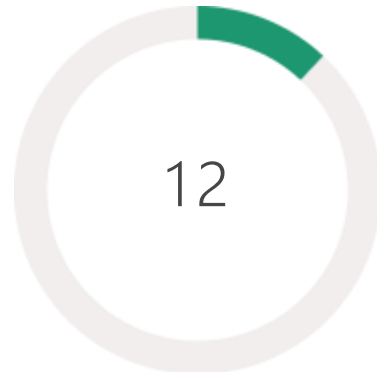
Competitive Positioning Analysis

Market Leadership Profile

Nucor operates the most extensive product portfolio in North America, spanning 12 major categories from commodity-grade rebar to specialized steel grades.

The company holds market-leading positions in 9 product lines, providing diversified revenue streams and reducing commodity exposure.

This breadth enables Nucor to serve virtually any steel requirement across construction, automotive, energy, and industrial sectors.



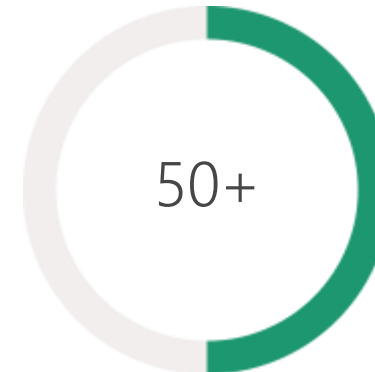
Product Categories

Broadest portfolio in North America



Market Leaders

Product lines with #1 position



Years Leading

Sustained market leadership



Technology and Cost Advantage

Electrical Arc Furnace Model

Uses 100% scrap recycling, eliminating need for iron ore and coke infrastructure

50% Labor Cost Advantage

Compared to traditional integrated mills, driving unmatched efficiency

Proprietary Castrip Technology

Continuous casting innovation reducing production costs and improving quality

Vertical Integration

DJJ scrap network and DRI plants controlling supply chain economics

Looking Ahead: 2018 and Beyond



Strategic Imperative

Nucor enters 2018 positioned at an inflection point. The combination of Section 232 tariffs, strong financial condition, and comprehensive product portfolio creates a unique window to accelerate competitive advantages.

Success requires decisive action on underperforming assets, strategic capital deployment toward value-added products, and disciplined execution of automotive market penetration.

The company's proven track record of navigating cycles and protecting organizational culture provides confidence for continued leadership in the North American steel industry.